Illustration 5

Classify the following expenses as capital or revenue.

(i) The sum of ₹ 3,200 has been spent on a machine as follows:

a) ₹ 2,000 for additions to double the output.

b) ₹ 1,200 for repairs necessitated by negligence.

(ii) Overhauling expenses of ₹ 25,000 for the engine of a motor car to get better fuel efficiency.

Solution

(i) a) ₹ 2,000 spent on additions should be treated as capital expenditure

b) ₹ 1200 spent on repairs should be treated as revenue expenditure.

(ii) Overhauling expenses are incurred for the engine of a motor car to get better fuel efficiency. So this expenditure should be treated as capital expenditure.

Illustration 6

Classify the following expenditures and receipts as capital or revenue:

(i) ₹ 10,000 spent as travelling expenses of the directors on trips abroad for the purchase of fixed assets.

(ii) Amount received from trade receivables during the year.

(iii) Amount spent on demolition of building to construct a large building on the same site.

(iv) Insurance claim received on account of a machinery damaged by fire.

Solution

(i) Capital expenditure

(ii) Revenue receipt

(iii) Capital expenditure

(iv) Capital receipt.

Points to remember

- Expenditures of a business can be classified into capital, revenue and differred revenue expenditure.
- Capital expenditure is an expenditure incurred during an accounting period, the benefits of which will be available for more than one accounting period.
- Revenue expenditure is the expenditure incurred for day today running of the business or for maintaining the earning capacity of the business.
- Deferred revenue expenditure is expenditure of revenue nature incurred for getting benefits which extends to two or more years.
- Revenue receipts are incomes derived from the normal activities of the business. Capital receipts are derived from transactions that are not the usual activities of the business.

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